

EMPLOYER BRIEFING · PROVIDENT FUND

EPF Wage Ceiling Revision

₹15,000 → ₹25,000

Effective 17 September 2026

*What it costs, who it hits, how it plays out state by state —
and what employers should do now.*

STATUS AS OF 23 SEPTEMBER 2026

PREPARED BY

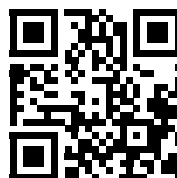
Saikrishna Varma (Sai)

Partner, nHRMS | CHRO, RYT Advisory

Bengaluru

krishna@nhrms.com

linkedin.com/in/saikrshna



Email



LinkedIn

At a glance

₹25,000

New monthly PF wage ceiling (Basic + DA), up from ₹15,000 — first revision since 2014

51 lakh+

Employees expected to come into mandatory EPF / EPS / EDLI coverage (Govt. estimate)

₹15,600

Maximum extra employer cost per employee per year (PF + admin/EDLI)

₹1,200

Maximum fall in an employee's monthly take-home — money that moves into PF, not lost

The bottom line. This is not a rate change; it is a base change. The 12% stays 12%, but it now applies to two-thirds more wage. For a company that already pays PF on actual wages, nothing moves. For a company that has capped PF at ₹15,000 for a decade — which is most of India Inc. — every employee with Basic above ₹15,000 costs more from 17 September, every payslip in that band shows a lower net, and every offer letter template is now out of date. Where it bites hardest is decided by two things: **how your salary structure splits Basic from allowances**, and **which states you employ people in**.

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01 Executive Summary and Status Update

The Union Cabinet approved the revision on 16 September 2026. The Ministry of Labour & Employment notified it the next day through Gazette Notification **S.O. 5109(E) dated 17 September 2026**, issued under **Section 2(89) of the Code on Social Security, 2020**. From 17 September 2026 (Vishwakarma Jayanti), the wage ceiling for mandatory Provident Fund coverage is ₹25,000 per month. The notification supersedes S.O. 2702(E) dated 29 May 2026.

The Government expects more than 51 lakh additional employees to come under statutory EPF, EPS and EDLI coverage. For employers, the change arrives in the middle of a payroll month, on top of Code on Wages restructuring that many have only just completed, and before EPFO has issued its operating instructions. That combination — not the arithmetic — is what makes this cycle difficult.

Where things stand on 23 September 2026

- **Notified and in force.** S.O. 5109(E) has been published. The ceiling is a legal obligation from 17 September, not a proposal.
- **The legal basis has moved.** The ceiling now sits in the Code on Social Security, 2020 (Chapter III — EPF). The EPF & MP Act, 1952 has been subsumed into the Code; offer letters, policies and templates that cite the 1952 Act should be updated.
- **EPFO's implementation circular is still awaited.** Based on publicly available information, no operational circular or ECR update has been issued yet. Open points: (a) pro-rata computation for the September 2026 wage month — the ECR has historically not supported two ceilings for one member in the same wage month; (b) treatment of existing "excluded employees" and post-September 2014 "EPS-No" members now within ₹15,001–₹25,000; (c) the formal EDLI Scheme amendment for the higher maximum assurance.
- **What to do for September payroll.** Adopt and document an approach for 17–30 September, keep a reconciliation-ready working, and be ready to true-up when EPFO guidance issues. Do not reclassify EPS-No members as EPS-Yes without checking date of joining and EPFO records.

Headline numbers

Parameter	Before 17-Sep-2026	From 17-Sep-2026
Mandatory PF wage ceiling (Basic + DA)	₹15,000/month	₹25,000/month
Max. combined statutory PF contribution (12% + 12%)	₹3,600/month	₹6,000/month
Employer's EPS contribution (8.33%, capped)	₹1,250/month	₹2,082–₹2,083/month
Employer EDLI contribution (0.5%, capped)	₹75/month	₹125/month
EDLI maximum assurance	₹7 lakh	~₹10.5 lakh (indicative; subject to EDLI Scheme amendment)
Indicative full-career EPS pension (illustrative)	~₹7,500/month	~₹12,500/month
Maximum all-in employer increase per employee	—	~₹1,300/month · ₹15,600/year

The contribution rate is unchanged at 12% on each side; only the wage base has moved. Employers already contributing on actual (uncapped) wages see no incremental cost from the ceiling itself.

02 Background and Legislative Context

A ceiling frozen for twelve years. The ceiling was last revised in September 2014, from ₹6,500 to ₹15,000. Since then, formal-sector wages — and statutory minimum wages — have moved well past it. A first-job graduate in Pune, a security guard in Delhi or a machine operator in Manesar could cross ₹15,000 in their first salary and sit outside mandatory social security for their entire career. In Delhi and in central-sphere establishments, the statutory minimum wage itself had overtaken the ceiling. The revision follows judicial attention to the issue and a long policy review within Government.

Why it moved so fast. Under the Code on Social Security, 2020 the ceiling is notified by the Central Government (Section 2(89)); no Parliamentary amendment is needed. That is why it went from Cabinet to Gazette in one day, and why employers had no lead time. The Government has indicated an annual outlay of roughly ₹11,339 crore linked to the revision.

So what

Treat the change as final and operative. The only uncertainty left is mechanics — how EPFO wants the transition filed — not whether the obligation applies.

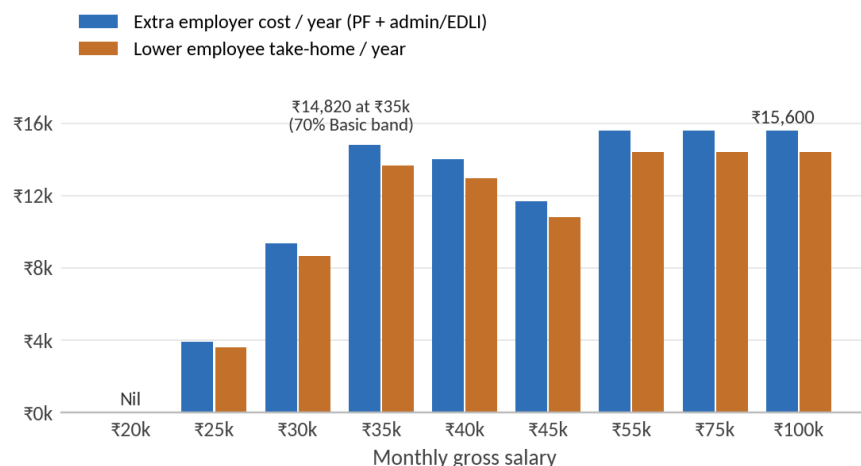
03 Illustration: What the New Ceiling Does to a Salary Structure

Per-employee monthly impact, with PF, salary structure and monthly gross held constant. Basic-pay bands as used in the model: 70% of gross below ₹35,250; 60% for ₹35,250–₹42,500; 50% above ₹42,500. All amounts in ₹.

Monthly Gross (₹)	Basic %	Basic (₹)	Old PF (cap 15k)	New PF (cap 25k)	Δ /mo	Old admin	New admin	Δ CTC /month	Δ CTC /year	Old EE PF	New EE PF	Δ take-home /month	Old EPS	New EPS	Δ EPS /mo
20,000	70%	14,000	1,680	1,680	0	140	140	0	0	1,680	1,680	0	1,166.20	1,166.20	0
25,000	70%	17,500	1,800	2,100	+300	150	175	+325	+3,900	1,800	2,100	-300	1,249.50	1,457.75	+208.25
30,000	70%	21,000	1,800	2,520	+720	150	210	+780	+9,360	1,800	2,520	-720	1,249.50	1,749.30	+499.80
35,000	70%	24,500	1,800	2,940	+1,140	150	245	+1,235	+14,820	1,800	2,940	-1,140	1,249.50	2,040.85	+791.35
40,000	60%	24,000	1,800	2,880	+1,080	150	240	+1,170	+14,040	1,800	2,880	-1,080	1,249.50	1,999.20	+749.70
45,000	50%	22,500	1,800	2,700	+900	150	225	+975	+11,700	1,800	2,700	-900	1,249.50	1,874.25	+624.75
55,000	50%	27,500	1,800	3,000	+1,200	150	250	+1,300	+15,600	1,800	3,000	-1,200	1,249.50	2,082.50	+833
75,000	50%	37,500	1,800	3,000	+1,200	150	250	+1,300	+15,600	1,800	3,000	-1,200	1,249.50	2,082.50	+833
100,000	50%	50,000	1,800	3,000	+1,200	150	250	+1,300	+15,600	1,800	3,000	-1,200	1,249.50	2,082.50	+833

Source: nHRMS / RYT Advisory CTC structuring model, 2026 (sheet "PF Impact 15k vs 25k"). Shaded columns: blue = extra employer cost; amber = change in employee take-home; green = extra monthly pension (EPS) contribution.

Extra cost vs. lower take-home, per year



Reading the illustration

Three zones, one cap. Where Basic is below ₹15,000 (about ₹21,000 gross on a 70% Basic band), nothing changes. Between ₹15,000 and ₹25,000 of Basic, cost rises in step with Basic. Once Basic reaches ₹25,000, the impact is capped: +₹1,300 a month to CTC, -₹1,200 a month to take-home, +₹833 a month into the employee's pension.

The structure matters as much as the salary. A ₹35,000 employee on a 70% Basic band costs the employer more (+₹14,820 a year) than a ₹45,000 employee on a 50% band (+₹11,700). High-Basic structures — common in manufacturing and in organisations that restructured aggressively for the Code on Wages — reach the cap at lower salaries.

Key takeaways from the model

Ceiling doubled the capped wage.	PF (both sides) & EPS are now computed on up to ₹25,000 instead of ₹15,000. Max monthly PF (each side) rises ₹1,800 → ₹3,000.
Maximum extra COMPANY cost.	≈ ₹15,600 per employee per year (₹14,400 extra employer PF + ₹1,200 extra admin/EDLI) — only for employees whose basic is ≥ ₹25,000. Less for basic between ₹15k-25k; nil below ₹15k.
Maximum hit to EMPLOYEE take-home.	-₹1,200 per month (-₹14,400/yr) — the extra employee PF deduction. This is not lost money: it moves into the employee's PF/EPF corpus.
Retirement upside for the employee.	EPS (pension) contribution rises from ₹1,250 to up to ₹2,083 per month — higher eventual pension. The larger PF balance also earns tax-free EPFO interest.
Who is unaffected.	Employees with basic below ₹15,000 (typically monthly gross under ~₹21,000 on the 70% band) — no change at all.
If you hold CTC fixed instead of gross.	The increased employer PF is absorbed inside the fixed CTC, so the employee's gross / other components shrink — take-home can fall by close to the combined (employer + employee) increment.

Scale it up. For every 1,000 employees whose Basic is at or above ₹25,000, the extra employer cost is about ₹1.56 crore a year. For a 5,000-person plant in Pune or a 10,000-person contact-centre operation in Hyderabad, this is a budget line, not a rounding error.

Fixed gross or fixed CTC is the real decision. The illustration holds gross constant, so the employer absorbs its share. If CTC is held constant instead, the higher employer PF comes out of the employee's gross — and take-home can fall by close to the combined employer + employee increase. That choice, more than the ceiling itself, will decide how employees and unions react.

Model assumptions

- PF = 12% of PF wages (basic + DA) each side; of the employer 12%, 8.33% (capped at the ceiling) goes to EPS pension and the balance to EPF.
- Admin + EDLI modelled together at ~1% of capped wage (matches the workbook's existing convention); statutory split is EDLI 0.50% + EPF admin 0.50% (min ₹500) — refine per your payroll if needed.
- Basic-pay bands kept exactly as in the original workbook: 70% (gross < ₹35,250), 60% (₹35,250–₹42,500), 50% (> ₹42,500).
- ESIC, gratuity, statutory bonus and HRA are unchanged by this note and follow the existing structure.
- EPS on the full ₹25,000: some employers may retain ₹15,000 EPS wages for existing members pending EPFO implementation directions — confirm the final circular before finalising payroll.
- Figures are illustrative per-employee monthly amounts.

04 Impact on Employees

Who is affected

- **Newly covered:** employees whose PF wage (Basic + DA) is between ₹15,001 and ₹25,000 and who were "excluded employees" because they joined above the old ceiling. Whether existing excluded employees are brought in automatically, or only new joiners, is expected in EPFO's circular.
- **Existing members capped at ₹15,000:** contributions will now be computed on PF wages up to ₹25,000.
- **Unaffected:** employees with PF wages below ₹15,000, and those already contributing on full actual wages.

The payslip view vs. the retirement view

PF wage (Basic + DA)	Employee PF — before	Employee PF — after	Monthly take-home	Monthly EPS (employer)
₹18,000	₹1,800 (capped)	₹2,160	–₹360	₹1,250 → ₹1,499
₹20,000	₹1,800 (capped)	₹2,400	–₹600	₹1,250 → ₹1,666
₹25,000 or above	₹1,800 (capped)	₹3,000	–₹1,200	₹1,250 → ₹2,083

The payslip shows a deduction. The passbook shows a bigger corpus earning EPFO interest, a pension that — on illustrative full-career estimates — rises from about ₹7,500 to about ₹12,500 a month, and a larger EDLI cover for the family. Employees will see the first before they understand the second. Closing that gap is HR's job.

Who feels it most

- **Entry-level white-collar hires** — trainees, associates and graduate engineers in IT/ITES and GCC hubs (Bengaluru, Hyderabad, Pune, Chennai, Noida/Gurugram) whose Basic sits in the ₹15,000–₹25,000 band.
- **Front-line retail, QSR and e-commerce staff** in metros — Mumbai, Delhi-NCR, Bengaluru, Hyderabad, Kolkata.
- **Contract and staffing-agency workers**, especially where wages cluster just above ₹15,000.
- **Workers in high-minimum-wage jurisdictions** — Delhi, central-sphere establishments, Bengaluru — who were above ₹15,000 simply because the statutory minimum was (see Section 10).

05 Impact on Employers

Direct cost

Cost head	At ₹15,000 cap	At ₹25,000 cap	Increase per affected employee
Employer EPF + EPS (12%)	Up to ₹1,800/month	Up to ₹3,000/month	Up to ₹1,200/month
EDLI (0.5%)	₹75/month	₹125/month	₹50/month
EPF administrative charges (0.5%)	₹75/month	₹125/month	₹50/month
Total	₹1,950/month	₹3,250/month	Up to ₹1,300/month · ₹15,600/year

Compliance and administration

- **Payroll reconfiguration:** ceiling parameters, PF-base logic and CTC templates in HRMS/payroll. Many engines hard-code ₹15,000 — budget for a parameter change and regression testing, not just a setting.
- **UAN enrolment:** identify and enrol newly-covered employees, generate or link UANs, complete KYC (Aadhaar, bank, PAN) and file the first ECR on the new base.
- **New-joiner declarations** (Form 11 or equivalent) and the "excluded employee" check in onboarding change for every new hire.
- **September 2026 wage month:** the effective date falls mid-month and most payrolls run 1st to month-end. Document your approach for 17–30 September and plan a true-up.
- **Documentation:** wage policies, offer and appointment letters, and CTC templates that mention ₹15,000 or the EPF & MP Act, 1952.
- **Communication:** enrolment within the ceiling is mandatory — there is no opt-out — so explain before you deduct.

Sector and cluster exposure

Sector	Impact	Where it concentrates	Why
IT/ITES, BPM, GCCs	Low-Moderate	Bengaluru, Hyderabad, Pune, Chennai, NCR	Most entry salaries already above ₹25,000 Basic-equivalent; effect in trainee/associate bands and support staff
Retail, QSR, e-commerce logistics	High	Metro and tier-1 cities; warehousing belts in Bhiwandi (MH), Hoskote (KA), Gurugram-Manesar (HR)	Large front-line workforce in the ₹15,000–₹25,000 band
Automotive and engineering	High	Manesar-Bawal (HR), Pune-Chakan (MH), Sriperumbudur-Hosur (TN/KA), Sanand (GJ)	Blue-collar wages squarely in the band; unionised; settlement-driven wage structures
Textiles and garments, MSME manufacturing	High (cost-sensitive)	Tiruppur-Coimbatore (TN), Bengaluru garments (KA), Surat (GJ), Ludhiana (PB), Panipat (HR)	Thin margins; even ₹300–₹700 a month per worker moves unit cost
Staffing, facility management, security	High	Pan-India; largest in Delhi-NCR, Maharashtra, Karnataka, Telangana	Cost pass-through to principal employers will be contested in rate cards
Electronics and new manufacturing	Moderate-High	Noida (UP), Sriperumbudur (TN), Andhra Pradesh and Telangana EMCs	Young workforce joining at or just above minimum wage; high hiring velocity
BFSI, pharma, professional services	Low	Mumbai, Bengaluru, Hyderabad (Genome Valley), Ahmedabad	Entry salary bands mostly above ₹25,000

So what

Cost is manageable for white-collar employers and material for labour-intensive ones. The bigger risk for both is operational: a mid-month change with no EPFO circular yet, landing on payroll systems that assume ₹15,000.

06 Trade Unions and Industrial Relations

Expect unions to welcome the ceiling and fight the method. Central trade unions — INTUC, AITUC, CITU, BMS, HMS and others — have demanded this revision for years and will present it as a social-security win. The flashpoint will be who pays.

- **Take-home framing:** any attempt to fund the higher employer contribution by trimming allowances or holding CTC flat will be framed as converting a welfare gain into a pay cut. Expect this in charters of demand across the auto belts of Haryana, Maharashtra and Tamil Nadu, in PSUs, and in plantation and textile clusters in Kerala, Assam, West Bengal and Tamil Nadu.
- **Settlements referencing ₹15,000:** long-term settlements (now under the Industrial Relations Code, 2020) that cap PF-qualifying wages at ₹15,000 will face demands to renegotiate or clarify.
- **Parity:** unions will push for equal treatment of permanent, fixed-term and contract workers — and contract labour is the segment most concentrated in the ₹15,001–₹25,000 band.

Where employers create their own IR risk

- **Silence before the payslip.** Letting the change surface as an unexplained deduction is the most predictable trigger for grievances.

- **Skipping consultation.** The change is statutory, but with recognised unions or works committees, consult before implementation.
- **Template language.** Standing Orders and appointment letters that hard-code ₹15,000 invite claims of variance from contract.
- **Stacking changes.** Implementing this alongside Code on Wages restructuring reads as a coordinated pay cut. Sequence and message together.

07 Impact on EPFO

- **A larger base:** over 51 lakh new members, expanding both the corpus and the compliance-monitoring load.
- **Pension liability:** a higher pensionable wage increases EPS-95's long-term liability; funding adequacy will need watching.
- **Systems strain:** a one-time wave of UAN generation, KYC and ECR recalculation will test the Unified Portal. Plan for delays in the first one or two return cycles.
- **Grievance spike:** EPFIGMS and regional offices will see queries on "excluded employee" status and transition mechanics.
- **Clarifications to track (open as of 23 September 2026):** treatment of employees "excluded" as on 16 September 2026; EPS eligibility of post-September 2014 joiners who were above ₹15,000 at joining but are within ₹25,000 today; pro-rata and ECR handling for September 2026; and the EDLI Scheme amendment.

08 Interplay with the Four Labour Codes

The ceiling is itself a notification under the Code on Social Security, 2020, and it lands on a wage definition the Code on Wages, 2019 has already reshaped. The two reforms point the same way: **more of pay counts, and more of it is capped higher.**

The "50% rule"

Section 2(y), Code on Wages, 2019 (mirrored in the Code on Social Security): Basic, DA and Retaining Allowance must be at least 50% of total remuneration. Exclusions (HRA, conveyance, bonus, overtime, commission, etc.) above 50% are added back to "wages" for statutory dues, including PF. Many employers raised Basic to comply, which pushed PF wages above ₹15,000 for the first time. The ₹25,000 ceiling now captures that higher Basic too.

Driver	Effect on Basic + DA	Effect on PF-qualifying wage
Code on Wages 50% rule	Pushed up structurally, often well above ₹15,000	PF payable on a higher Basic + DA, even before the ceiling change
EPF ceiling ₹15,000 → ₹25,000	No change to Basic + DA itself	Minimum statutory PF now extends to ₹25,000 even where Basic stays low
Combined	—	Very few employees now escape meaningful PF through low-Basic structuring

Implementation status

The four Labour Codes came into force from 21 November 2025, subsuming the earlier labour statutes including the EPF & MP Act, 1952. Central and State rules have been finalised at different paces, so verify the rule position in each state before finalising restructuring tied to the wage definition. The PF ceiling itself is a central notification and applies uniformly across all states from 17 September 2026.

So what

Any payroll design built on keeping Basic low is now doubly constrained. Align CTC architecture to both reforms in one exercise rather than patching payroll twice.

09 Already Restructured vs. Still Restructuring

	Already restructured for the 50% rule	Still restructuring
Where you stand	Basic already at 50%+ of CTC; most affected employees already contribute above ₹15,000, many above ₹25,000	Structure still open — the best position to be in
What to do	Re-run payroll data to find the residual population with Basic + DA between ₹15,000 and ₹25,000	Design once for both drivers; model PF at the ₹25,000 ceiling (or actual Basic, if higher) from the start
The risk	A second take-home reduction soon after the first — explain both reforms together, as one story	Two separate "pay-cut" conversations if the ceiling and the 50% rule are rolled out separately
Documents	Update templates and annexures that still reference ₹15,000	Issue offer letters and CTC annexures from 17 September 2026 on the new ceiling and structure

Recommended default for CXOs

Implement the ceiling on payroll immediately — it is a statutory obligation from the effective date — and use this moment to finish any pending Code on Wages restructuring as one combined change-management and communication exercise, not two.

10 State by State: Minimum Wage vs. the PF Ceiling

India has no single wage floor. Every state notifies its own minimum wages by skill, scheduled employment and zone, and revises them — usually twice a year through VDA. That created a quiet anomaly: in high-minimum-wage jurisdictions, even the lowest lawful wage sat above ₹15,000, so an employer could treat a minimum-wage worker as an "excluded employee". In low-minimum-wage states, the old ceiling already covered the entire minimum-wage workforce. The ₹25,000 ceiling narrows that gap sharply — but it does not land evenly.

Pattern	States / UTs	What the new ceiling does
A. Floor above ₹15,000 (4)	Central sphere — Area A (metro), Delhi, Karnataka — Zone I (Bengaluru), Haryana	Pulls minimum-wage workers into mandatory PF for the first time. Highest direct impact on headcount and cost — especially for staffing, security, facility management, retail and warehousing.
B. Floor below ₹15,000, higher skill bands above it (13)	Telangana — Zone I (Hyderabad), Maharashtra — Zone I (Mumbai/Pune/Thane), Lakshadweep (UT), Andaman & Nicobar Islands (UT), Andhra Pradesh — Zone I, Tamil Nadu — Zone I (Chennai), Uttar Pradesh, Kerala, Chandigarh (UT), Goa, Puducherry (UT), Madhya Pradesh, West Bengal — Zone A	Unskilled workers were already covered. Impact concentrates in skilled, highly-skilled and supervisory roles, and in industrial clusters where actual wages run well above the statutory minimum.
C. All skill bands below ₹15,000 (18)	Gujarat — Zone I, Chhattisgarh, Uttarakhand, Punjab, Odisha, Jharkhand, Himachal Pradesh, Bihar, Rajasthan, Assam, Jammu & Kashmir (UT), Tripura, Sikkim, Manipur, Meghalaya, Arunachal Pradesh, Mizoram, Nagaland	No change at the statutory floor. Impact is felt only where actual wages exceed ₹15,000 — typically in organised manufacturing, mining, BFSI and IT/ITES establishments in these states.

Not tiered for want of reliable consolidated data: Ladakh (UT), Dadra & Nagar Haveli and Daman & Diu (UT) — verify the notified rates directly.

State / UT (Zone I where zoned)	Indicative monthly minimum wage: unskilled → highly skilled	Under the old ₹15,000 ceiling	Under the new ₹25,000 ceiling	Employer PF at unskilled minimum (12%): old → new	Tier
Central sphere — Area A (metro)	~₹21,300 – ₹28,400	All bands above — excludable at minimum wage	Top bands still above ₹25,000	₹1,800 → ₹2,562 (+₹762)	A
Delhi	~₹18,500 – ₹24,400	All bands above — excludable at minimum wage	All bands now within PF	₹1,800 → ₹2,215 (+₹415)	A
Karnataka — Zone I (Bengaluru)	~₹15,500 – ₹31,100	All bands above — excludable at minimum wage	Top bands still above ₹25,000	₹1,800 → ₹1,859 (+₹59)	A
Haryana	~₹15,200 – ₹19,500	All bands above — excludable at minimum wage	All bands now within PF	₹1,800 → ₹1,826 (+₹26)	A
Telangana — Zone I (Hyderabad)	~₹15,000 – ₹20,000	Higher skill bands above	All bands now within PF	₹1,800 → ₹1,800 (nil)	B

State / UT (Zone I where zoned)	Indicative monthly minimum wage: unskilled → highly skilled	Under the old ₹15,000 ceiling	Under the new ₹25,000 ceiling	Employer PF at unskilled minimum (12%): old → new	Tier
Maharashtra — Zone I (Mumbai/Pune/Thane)	~₹14,800 – ₹19,300	Higher skill bands above	All bands now within PF	₹1,781 → ₹1,781 (nil)	B
Lakshadweep (UT)	~₹14,700 – ₹19,700	Higher skill bands above	All bands now within PF	₹1,763 → ₹1,763 (nil)	B
Andaman & Nicobar Islands (UT)	~₹14,200 – ₹19,000	Higher skill bands above	All bands now within PF	₹1,704 → ₹1,704 (nil)	B
Andhra Pradesh — Zone I	~₹14,000 – ₹19,500	Higher skill bands above	All bands now within PF	₹1,680 → ₹1,680 (nil)	B
Tamil Nadu — Zone I (Chennai)	~₹13,800 – ₹16,500	Higher skill bands above	All bands now within PF	₹1,659 → ₹1,659 (nil)	B
Uttar Pradesh	~₹13,700 – ₹18,100	Higher skill bands above	All bands now within PF	₹1,643 → ₹1,643 (nil)	B
Kerala	~₹13,500 – ₹20,000	Higher skill bands above	All bands now within PF	₹1,620 → ₹1,620 (nil)	B
Chandigarh (UT)	~₹13,500 – ₹19,000	Higher skill bands above	All bands now within PF	₹1,620 → ₹1,620 (nil)	B
Gujarat — Zone I	~₹13,000 – ₹14,000	All bands within PF	No change at the floor	₹1,562 → ₹1,562 (nil)	C
Goa	~₹13,000 – ₹18,000	Higher skill bands above	All bands now within PF	₹1,560 → ₹1,560 (nil)	B
Puducherry (UT)	~₹13,000 – ₹18,000	Higher skill bands above	All bands now within PF	₹1,560 → ₹1,560 (nil)	B
Madhya Pradesh	~₹12,200 – ₹15,000	Higher skill bands above	All bands now within PF	₹1,458 → ₹1,458 (nil)	B
West Bengal — Zone A	~₹12,000 – ₹17,000	Higher skill bands above	All bands now within PF	₹1,440 → ₹1,440 (nil)	B
Chhattisgarh	~₹12,000 – ₹14,000	All bands within PF	No change at the floor	₹1,440 → ₹1,440 (nil)	C
Uttarakhand	~₹11,500 – ₹15,000	All bands within PF	No change at the floor	₹1,380 → ₹1,380 (nil)	C
Punjab	~₹11,400 – ₹14,800	All bands within PF	No change at the floor	₹1,367 → ₹1,367 (nil)	C
Odisha	~₹11,000 – ₹15,000	All bands within PF	No change at the floor	₹1,320 → ₹1,320 (nil)	C
Jharkhand	~₹11,000 – ₹15,000	All bands within PF	No change at the floor	₹1,320 → ₹1,320 (nil)	C
Himachal Pradesh	~₹11,000 – ₹15,000	All bands within PF	No change at the floor	₹1,320 → ₹1,320 (nil)	C
Bihar	~₹10,800 – ₹12,600	All bands within PF	No change at the floor	₹1,296 → ₹1,296 (nil)	C
Rajasthan	~₹10,000 – ₹11,800	All bands within PF	No change at the floor	₹1,206 → ₹1,206 (nil)	C
Assam	~₹9,600 – ₹12,900	All bands within PF	No change at the floor	₹1,158 → ₹1,158 (nil)	C
Jammu & Kashmir (UT)	~₹9,600 – ₹12,900	All bands within PF	No change at the floor	₹1,158 → ₹1,158 (nil)	C
Tripura	~₹9,500 – ₹13,000	All bands within PF	No change at the floor	₹1,140 → ₹1,140 (nil)	C
Sikkim	~₹9,000 – ₹13,000	All bands within PF	No change at the floor	₹1,080 → ₹1,080 (nil)	C
Manipur	~₹8,000 – ₹12,000	All bands within PF	No change at the floor	₹960 → ₹960 (nil)	C
Meghalaya	~₹7,500 – ₹11,000	All bands within PF	No change at the floor	₹900 → ₹900 (nil)	C
Arunachal Pradesh	~₹7,000 – ₹11,000	All bands within PF	No change at the floor	₹840 → ₹840 (nil)	C
Mizoram	~₹7,000 – ₹11,000	All bands within PF	No change at the floor	₹840 → ₹840 (nil)	C
Nagaland	~₹7,000 – ₹10,500	All bands within PF	No change at the floor	₹840 → ₹840 (nil)	C
Ladakh (UT)	Verify notified rates	—	—	—	—
Dadra & Nagar Haveli and Daman & Diu (UT)	Verify notified rates	—	—	—	—

How to read this table: figures are indicative monthly minimum wages for the general / shops & commercial establishments schedule (Zone I where a state is zoned), compiled from published secondary compilations of state notifications current in mid-2026. Published compilations differ materially from one another, rates vary by scheduled employment, and most states revise VDA in April and October. The table shows direction and exposure, not compliance rates — confirm the current notified rate for each scheduled employment and zone before relying on any figure. Minimum wage is used here as a proxy for the PF wage (Basic + DA) at the floor.

What the state picture tells employers

- **Delhi and central-sphere establishments are the clearest case.** At about ₹18,500 (Delhi) and ₹21,300 (Area A) for unskilled work, every minimum-wage worker was above the old ceiling and every one of them is below the new one. For a Delhi security or housekeeping contractor, employer PF at the floor rises from ₹1,800 to about ₹2,215 per worker per month — before admin and EDLI.
- **Karnataka is the widest spread.** Bengaluru's Zone I floor starts around ₹15,500 and its highly-skilled rate is above ₹31,000. Unskilled, semi-skilled and skilled workers come into PF; some highly-skilled categories still sit above ₹25,000 and remain outside mandatory coverage. Zones II and III behave more like Tier B states.
- **Haryana and Telangana sit on the line.** With unskilled floors at or just above ₹15,000, the Gurugram–Manesar and Hyderabad workforces move almost entirely into mandatory PF — relevant for auto, logistics and GCC support staff.
- **Maharashtra, Tamil Nadu, Uttar Pradesh, Andhra Pradesh, Kerala, Gujarat and West Bengal** were largely covered at the unskilled floor. Their exposure is in skilled and supervisory grades and in actual wages in clusters such as Pune–Chakan, Sriperumbudur, Noida, Sanand and Kolkata — the impact follows the payroll, not the minimum wage notification.
- **Bihar, Rajasthan, Odisha, Jharkhand and the North-Eastern states** see no change at the statutory floor. Here the ceiling matters for organised employers — mines, power, cement, banks, IT/ITES — whose actual wages run above ₹15,000.
- **Multi-state employers cannot use one national rule.** Re-run PF applicability state by state and scheduled employment by scheduled employment, and budget FY2026-27 payroll accordingly.

So what

Map your headcount by state and skill band before you model cost. The same salary policy produces very different PF outcomes in Delhi, Bengaluru, Pune and Patna.

11 Employer / CXO Action Checklist

Cost

- ☐ Quantify incremental PF, EDLI and admin cost for the ₹15,001–₹25,000 population by state, business unit and skill band.
- ☐ Decide fixed-gross vs. fixed-CTC treatment and communicate it before the first affected payroll.
- ☐ Reprice outsourced labour: staffing and FM vendors will seek rate revisions — build this into contract reviews now.

Compliance	☐ Update payroll/HRMS ceiling parameters; validate with a parallel run before go-live. ☐ Identify and enrol newly-covered employees; complete UAN/KYC seeding. ☐ Revise new-joiner declarations, offer and appointment letters and CTC annexures, replacing references to the EPF & MP Act, 1952 with the Code on Social Security, 2020. ☐ Track the EPFO implementation circular and ECR changes; true-up September 2026 once issued. ☐ Cross-check Code on Wages 50% compliance in each operating state; combine both actions where restructuring is pending.
Industrial relations	☐ Brief recognised unions and works committees before employees see the payslip. ☐ Prepare a one-page before/after explainer: take-home today vs. pension, corpus and insurance tomorrow. ☐ Review settlements for explicit ₹15,000 references that need amendment or joint clarification. ☐ Treat permanent, fixed-term and contract workers consistently.
HR and total rewards	☐ Update CTC calculators for campus and lateral offers immediately. ☐ Present the enhanced retirement benefit as value, not just a deduction, in FAQs and reward statements. ☐ Run Total Rewards, Payroll, Legal/IR and Finance as one working group.
Operations	☐ Set a realistic go-live date with interim guidance for the September cycle. ☐ Build buffer into the return-filing calendar for the first one or two cycles. ☐ Open a dedicated query channel for employees during the transition.

12 Disclaimer and Contact

This note has been prepared for general guidance and internal decision support, based on the Gazette notification, publicly available government announcements and reporting as of 23 September 2026. It is not a formal legal opinion or a substitute for the official notification and EPFO circulars, which should be verified before final implementation. State minimum wage figures are indicative and drawn from secondary compilations. Please consult nHRMS / RYT Advisory or your retained legal and compliance advisors before acting on any specific provision, particularly transition mechanics, mid-cycle applicability, and state-specific minimum wage and Labour Code rule status, all of which remain subject to change.

About the author

Saikrishna Varma (Sai) is a Partner at nHRMS and CHRO at RYT Advisory, Bengaluru. nHRMS / RYT Advisory works with employers on labour law and payroll statutory compliance, HR policy, HRTech implementation and executive search.

For questions on this note or help modelling the impact for your workforce:

krishna@nhrms.com ·
[linkedin.com/in/saikrshna](https://www.linkedin.com/in/saikrshna)



Email
krishna@nhrms.com



LinkedIn
[linkedin.com/in/saikrshna](https://www.linkedin.com/in/saikrshna)